

04 Management Discussion and Analysis

It is one of the most crucial sections of the annual report and cannot be ignored. It will help us understand:

what are the executive's opinions about the company? what is the current state of the industry? what is the situation of the economy and business? They also talk about the risks in the market, industry outlook, opportunities, dangers, and the background of their forecast.



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ANNEXURE-09 TO DIRECTORS' REPORT 2020-21 Management Discussion and Analysis:

The operating and financial review is intended to convey the Management's perspective on the financial and operating performance of the Company for the Financial Year 2020-21, and outlook for the current financial year. This Report should be read in conjunction with the Company's financial statements, the schedules and notes thereto and other information included elsewhere in the Annual Report. This report is an integral part of the Directors' Report.

INDUSTRY SCENARIO

India is currently the world's largest and largest producer of crude steel and is the world's largest producer of Direct Reduced Iron (DRI) or Sponge Iron. India surpassed Japan to become the world's second largest steel producer in 2019 with crude steel production of 111.2 million tonnes (MT). In FY20, crude steel production and finished steel production in India was 108.5 MT and 101.03 MT, respectively.

Between April-February 2020-2021, India's cumulative production of crude steel was 92,782 MT and finished steel was 85,604 MT. In the month of Jan - Feb 2021, India produced 19.39 MT of crude steel.

Export and import of finished steel stood at 9,492 MT and 4,252 MT, respectively, April - February 2020-2021.

The steel industry suffered a setback due to the COVID19 pandemic outbreak and the consequent lock downs. The industry's key customer sectors like automobiles, construction and oil & gas drillers struggled hard to survive due to prolonged shutdowns, disrupted supply chains, collapsing confidence and delayed investment and construction projects, as well as a decline in consumption activity across the globe. The domestic automotive industry production has been facing a series of challenges on account of regulatory changes (Bharat Stage Emission Standards - BSVI, Corporate Average Fuel Efficiency - CAFE norms, Crash standards, revised axle norms etc.), Societal trends (ride sharing, traffic congestion, cost of ownership etc.), technological upheavals (electric vehicle) and liquidity crunch. The COVID-19 pandemic further exacerbated the situation as the supply chain got disrupted and there was suspension in production. Automotive, which is one of the most important end market for the steel industry, saw a severe sales plunge globally.

As a step towards supporting the economy, the Government of India unleashed policy stimulus equivalent to INR 20 trillion consisting of the following measures:

- Liquidity injection and favorable business environment for the MSMEs
- Impetus on the rural economy as measures are directly focused on increasing income and consumption
- Structural reforms in the mining and manufacturing sector

The Govt. of India approved an incentive program worth 1.46 trillion rupees (\$20 billion) to attract companies to set up manufacturing in the South Asian nation. The government will offer production-linked incentives to 10 sectors including automobile, solar panel and specialty-steel makers over a five-year period.

The stimulus package and incentive program with increased government spending will strengthen the demand situation in the country in the coming times.

Iron Ore & Pellets

Iron prices remained strong through out FY21 on account of supply constraints from the large miners. At over \$200, global Iron Ore prices have touched a multi-year high. Among the 3 major iron ore producers globally only Vale has been projecting higher production in FY22. The demand supply is expected to remain tight for next 1-2 years.

Pellet prices have been tracking higher iron ore prices and have remained strong. China is focussed on decarbonisation of the economy and this has increased demand for higher grade pellets and iron ore.

Government Initiatives

Government has taken various steps to boost the sector including the introduction of National Steel Policy 2017 and allowing 100% Foreign Direct Investment (FDI) in the steel sector under the automatic route. According to the data released by Department for Promotion of Industry and Internal Trade (DPIIT), the Indian metallurgical industries attracted Foreign Direct Investment (FDI) to the tune of US\$ 14.24 billion in the period April 2000-September 2020.

Some of the other government initiatives in this sector are as follows:

- In December 2020, the Minister for Petroleum & Natural Gas and Steel, Mr. Dharmendra Pradhan, has appealed to the scientific community to Innovate for India (I4I) and create competitive advantages to make India 'Aatmanirbhar'.
- In September 2020, the Ministry of Steel prepared a draft framework policy for development of steel clusters in the country.
- On October 1, 2020, Directorate General of Foreign Trade (DGFT) announced that steel manufacturers in the country can avail duty drawback benefits on steel supplied through their service centres, distributors, dealers and stock yards.